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HEINEKEN ANALYSIS

Question 1

Understanding dynamics, which may have an impact on the future, is essential for long-term survival of businesses.

Porter's Five Forces helps analyse industry profitability and appeal based on competitive forces. Its use is a bit limited in a VUCA world, but it can be adapted to "*sense changes and trajectories in external context*" (MacKay et al., 2020, 348). Being a market-focused analysis, the risk is to miss out those macro-level factors which compose the bigger picture and affect the market dynamics. That's why insights from the PESTEL analysis result are precious.

Figure 1 demonstrates how the two frameworks can be interconnected:

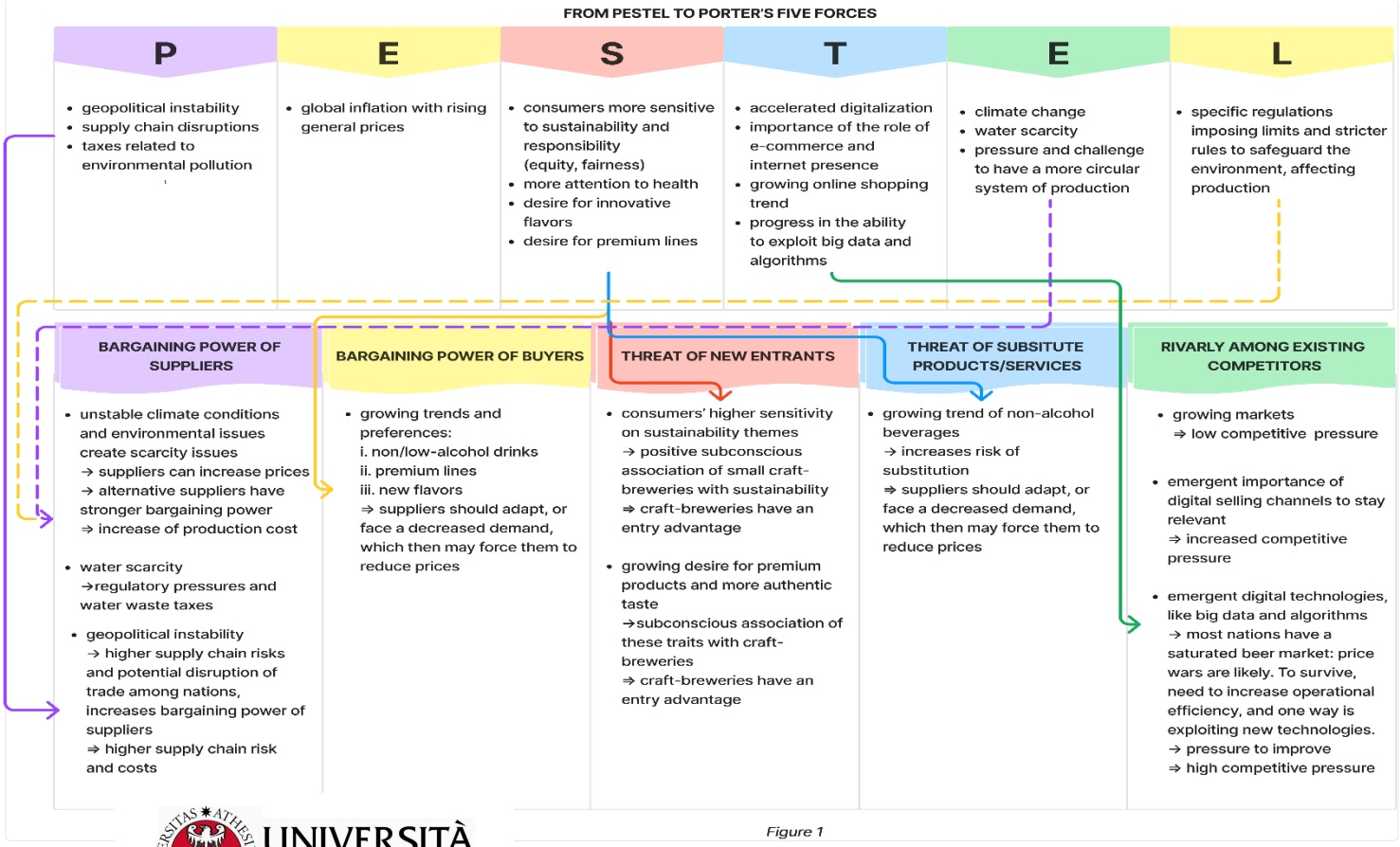

Figure 1

Figure 2 is a summarising scheme of the dynamics identified for the Porter's Five Forces Framework:

PORTER'S FIVE FORCES

BARGAINING POWER OF SUPPLIERS	BARGAINING POWER OF BUYERS	THREAT OF NEW ENTRANTS	THREAT OF SUBSITUTE PRODUCTS/SERVICES	RIVARLY AMONG EXISTING COMPETITORS
• unstable climate conditions and environmental issues create scarcity issues → suppliers can increase prices → alternative suppliers have stronger bargaining power ⇒ increase of production cost • water scarcity →regulatory pressures and water waste taxes • geopolitical instability → higher supply chain risks and potential disruption of trade among nations → stronger bargaining power of suppliers ⇒ higher supply chain risk and costs	• growing trends and preferences: i. non/low-alcohol drinks ii. premium lines iii. new flavors ⇒ suppliers should adapt, or face a decreased demand, which then may force them to reduce prices	• consumers' higher sensitivity on sustainability themes → positive subconscious association of small craft-breweries with sustainability ⇒ craft-breweries have an entry advantage • growing desire for premium products and more authentic taste →subconscious association of these traits with craft-breweries ⇒ craft-breweries have an entry advantage	• growing trend of non-alcohol beverages → increases risk of substitution ⇒ suppliers should adapt, or face a decreased demand, which then may force them to reduce prices	• growing markets ⇒ low competitive pressure • emergent importance of digital selling channels to stay relevant ⇒ increased competitive pressure • emergent digital technologies, like big data and algorithms → most nations have a saturated beer market: price wars are likely. To survive, need to increase operational efficiency, and one way is exploiting new technologies. → pressure to improve ⇒ high competitive pressure

Figure 2

COMPETITIVE FORCE	DYNAMICS AFFECTING THE FUTURE
BARGAINING POWER OF SUPPLIERS	The main ingredients required to produce beer are malted grains, hop and water. They are dependent on weather conditions, but the unstable climate experienced nowadays can cause bad harvests and so scarcity. Affected suppliers will likely raise their prices. Alternative suppliers, to which brewers may reach out for sourcing, will be able to leverage the scarcity to keep price levels high. Water scarcity is also becoming a critical issue, and governments are increasingly imposing taxes on its waste and are even restricting consumption in certain areas. This indirectly increases the cost of water usage. Note that public entities can be considered water suppliers. Furthermore, geopolitical instability from wars and economic conflicts is disrupting supply chains, so that shortages of raw materials, shipping delays and production halt or reduction may occur. Companies may be forced to resort to alternative suppliers, which will then have the higher ground on bargaining conditions.

	These factors may reduce the appeal of the industry in the foreseeable future.
BARGAINING POWER OF BUYERS	Emerging beverage's trends, such as health consciousness, demand for low/non-alcohol and premium drinks represent both an opportunity and a challenge to brewers. Given the high risk of substitution, brewers are pressured to adapt to market requests to stay relevant, or else face reduction of sales with consequent reduction of selling prices. The appeal of the market is moderate for brewers with investment capacities, as those trends represent profitable opportunities, and moderate for craft-brewers which could profit from the premium trend.
THREAT OF NEW ENTRANTS	Consumers are expecting more responsibility from producers, demanding sustainable practices and regard for equity. They are also increasing demand for premium beers. Craft-breweries are preferred by environmentally conscious consumers (Nieto-Villegas et al., 2024) and *"craft beer is perceived with higher quality and different flavours, while compared with a commercial beer"* (Lerro, Marotta and Nazzaro, 2020, 1). This makes the industry appealing to new craft-brewers wanting to enter the market, provided they overcome the high entry costs.
THREAT OF SUBSTITUTE PRODUCTS	The growing trends for low/non-alcoholic beverages is creating higher risk of substitution. From this perspective, the brewery industry is losing appeal, and brewers should find ways to stay relevant, like differentiating horizontally.
RIVALRY AMONG EXISTING COMPETITORS	Africa and Asia offer emerging beer markets, with lower competitive pressure presenting also profit opportunities. Consumers are expecting digital presence and e-commerce, and competition occurs digitally too. Most beer markets are saturated, and in those, brewers engage in price wars. One way to sustain it is investing in emerging technology to increase margin. Brewers are pressured into investments and have high competitive pressure. The appeal of the industry is higher in emerging markets rather than in saturated ones.

Question 2

PESTEL analysis is useful to *"identify the high-level trends in the external context"* (MacKay et al., 2020, 364) that are likely to impact the global beer industry in the foreseeable future. **Figure 3** represents the result of the analysis:

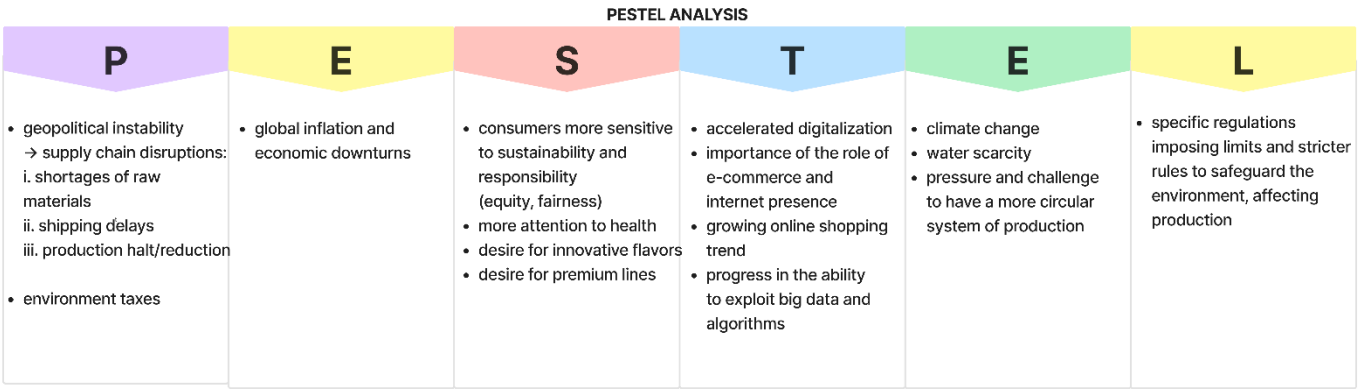

Figure 3

Given the interconnection between Porter's Five Forces and PESTEL, the implication on the industry of certain voices have been explained in Question 1.

POLITICS	Many nations are experiencing geopolitical instability, which may disrupt supply chains and has increase prices of gas and energy. Breweries should diversify their supply sources, lower their costs and implement renewable energy. Environment taxes include taxes on energy use and pollution, and are increasingly affecting businesses, pressuring the green transition.
ECONOMY	Inflation is a global problem nowadays, potentially forcing breweries to increase prices. Additionally, many nations have economic downturns. Customers suffer from both substitution effect and income effect, which together may lead them to buy less beers. Although **Exhibit 10** would suggest that the substitution effect is low, given the apparent inelastic demand observable from the low swings in quantities during the crisis.
SOCIETY	Many trends are emerging, and breweries should try to adapt to these shifts to survive long term.
TECHNOLOGY	Covid-19 has accelerated digitalization, and during that time most businesses have developed internet presence. Nowadays, it is expected for businesses to have a solid website and ecommerce platform. Online

	shopping is expected to increase in the future, which represents an opportunity for breweries. Covid-19 also pushed progress in big data and algorithms, creating many opportunities for breweries.
ENVIRONMENT	Climate instability describes our present days, creating various issues, like scarcity. Governments are pushing a circular production system.
LEGAL	More and stricter regulations are emerging to safeguard the environment, creating costs and limits for breweries.

Question 3

Unforeseen international crises can arise from pandemics, geopolitical conflicts, natural disasters and other reasons. They can sharply impact industries in both the short and long term.

In the short term and sometimes long-term, crises often disrupt supply chains. This causes delays, shortages, increase in costs and sometimes a production halt. Some type of crisis could result in obstacles to trade, like export bans or tariffs.
Then a demand fluctuation may be observable in different strengths. Usually, demand for essential goods and services increases, while non-essential goods' demand decreases.
Additionally, there might be an unforeseen need to adjust production to respond to sudden changes in needs. For example, during Covid-19 the beer industry has experienced a spike in off-trade sales, which resulted in the need to cheapen the packaging.
Crises usually implicate currency volatility, which impact export volumes.
Another possible effect is a reduction of working's hours, for example due to increased sicknesses during healthcare-caused crises, or impossibility to move during a natural disaster-caused crisis. This reduces total factor productivity.
Lastly, inflation is generally observable in the short term but also long-term.

In the long term, a crisis can reshape businesses, revealing vulnerabilities in the system. For example, during Covid-19 the fragility of the supply chain logistics was revealed.
Certain crises can reshape society's preferences, leading to the emergence of new trends and changes in demand. For example, during Covid-19 remote work and online shopping have been normalized.
During a crisis, businesses may accumulate debt to manage the situation, which can affect their financial health long term.
Crises can cause high unemployment. "*The empirical literature implies that higher unemployment may be costly not only due to lower production in the short run, but also*

because of lower productivity in the medium and long run" (Prein, 2023,10), caused by workers' idleness and loss of skill, creating a long-term scarring effect. The phenomenon is called labour market hysteresis.

Figure 4 is a summary of what discussed.

EFFECTS OF UNFORSEEN CRISES

LONG TERM	SHORT TERM
a. disruption of supply chains i. shortages ii. delays iii. costs iv. production halt b. exposure of vulnerabilities c. acceleration of trends d. societal change and emergence of new preferences e. structural change of demand f. debt accumulation g. inflation h. loss of workers' human capital and so reduction of TFP	a. disruption of supply chains i. shortages ii. delays iii. costs iv. production halt b. obstacles to free trade c. demand fluctuations d. need to strongly modify some aspect of production e. currency volatility f. reduction of production g. inflation

Figure 4

Question 4

VOLATILITY	THREAT	OPPORTUNITY
a. Fluctuations in prices i. raw materials ii. energy and gas iii. commodity prices	Increases cost of production, erodes margins.	Stimulus to improve efficiency through automation, waste reduction and investment in use of renewable energy.
b. volatile consumer preferences i. low/non-alcoholic beers	Increases substitution risks and unknown whether they represent long-term preferences.	Opportunity for profitable differentiation.

ii. premium products iii. sustainable products iv. non beer beverages		

UNCERTAINTY	THREAT	OPPORTUNITY
a. regulatory uncertainty: i. environment ii. stricter alcohol regulations	i. It is hard to predict future regulations' content, and act in advance to be more cost-efficient. ii. Eventual stricter alcohol regulations could modify demand structure	i. trying to be a pioneer in environmental matters now, can prevent having to rush changes in the future, and improves brand reputation ii. Heineken's low/non-alcoholic brands and alternative beverages have more possibility of growth. iii. "*Engage with policy-makers with the aim of shaping the global competitive environment to their advantage* " (MacKay, 929).

COMPLEXITY	THREAT	OPPORTUNITY
a. shift in workforce expectations i. work from home ii. shorter working week	The successful adjustment to these trends is complex and it may even result in decrease of productivity. Moreover, cultural differences across nations adds complexity to workforce planning.	Represent a cost saving opportunity: i. reduction of overhead costs ii. shorter work weeks increase productivity and reduce costs (Tessema, 2023, 4).

b. green transition	Complex because the whole line of operations must be reshaped. Uncertain profitability after the transition. Different nations have different rules, adding to the burden of compliance.	If Heineken improves their sustainability, their brand reputation will increase, and they will reduce environmental taxes.

AMBIGUITY	THREAT	OPPORTUNITY
a. AI technologies	Overdependence on AI technologies could backfire if new regulations considering ethics will be implemented, given that regulations are not well-developed yet.	Big opportunity to reduce costs and increase sales.
b. Future competitive landscape	It is unknown how craft-breweries will impact Heineken market share in the future.	Heineken could acquire small breweries and conduct a dual strategy.

Figure 5 is a summarising table:

VUCA ANALYSIS FOR OPPORTUNITIES AND THREATS

VOLATILITY		UNCERTAINTY
a. fluctuations in prices i. raw materials ii. energy and gas iii. commodity prices	b. volatile consumer preferences i. low/non-alcoholic beers ii. premium products iii. sustainable products iv. non beer beverages	a. regulatory uncertainty: i. environment ii. stricter alcohol regulations
T: increase costs O: stimulus to improve efficiency	T: substitution risk; may not be long-term preferences O: differentiation	T: i. hard to predict, risk of cost inefficiency; ii. could modify demand structure O: i. try be pioneer to improve brand reputation and be more cost efficient long term ii. some Heineken's brands have growth opportunity

COMPLEXITY		AMBIGUITY	
a. shift in workforce expectations i. work from home ii. short working week	b. green transition	a. AI technologies	b. future competitive landscape
T: complex to adjust; risk of decrease of productivity O: possibility of higher efficiency	T: uncertain profitability O: brand reputation improves; reduction of environmental taxes	T: new regulations could disrupt already implemented technologies O: possibility of higher efficiency	T: craft-breweries may gain advantage over Heineken O: possibility of acquisition of craft-breweries

Figure 5

Question 5

Heineken's "EverGreen" strategy aims to future-proof the company. Their strategy addresses most of the pressing issues nowadays. The results of the various external-environment analysis, outline these major areas that business should consider for their future:

A. GEOPOLITICAL and ECONOMIC INSTABILITY

A. SUPPLY CHAIN DISRUPTIONS

A. CLIMATE CHANGE and WATER SCARCITY

A. DIGITALIZATION

A. EXPECTATIONS ON CORPORATE RESPONSIBILITY: EQUITY AND FAIRNESS

A. CONSUMER TRENDS: health, flavours, premium

Following, is how Heineken is addressing these areas and the weak points:

A. GEOPOLITICAL and ECONOMIC INSTABILITY

During economic instability, businesses should aim at maintaining strong performance and savings to offset losses and make necessary investments.

Heineken has undertaken actions to reduce costs and boost productivity, as outlined under the strategic pillar n.2 "*Productivity - Fund the growth, fuel the profit*" and strategic pillar n. 4 *"Digital-Become the best connected brewer"* . Heineken has invested in workers motivation, being it linked to productivity, under strategic pillar n. 5 *"People-Unlock the full potential of our people"***.** Although the company does not address shifts in worker's expectations and prioritization of work-life balance, which could impact productivity and retention.

In response to inflation triggered by Covid-19 and Russia-Ukraine war, Heineken lowered their prices and focused on premiumization. Since beer appears to be an inelastic good, higher price should not reduce sales, but offering affordable brands may be better than over relying on premiumization.

Heineken has reduced the impact of eventual market closures and trade bloc disruption, because it has 166 production sites located in different nations, sells in various markets and has sources from local suppliers.

But Heineken does not explicitly explain how geopolitical instability is addressed in production sites located in unstable areas.

B. SUPPLY CHAIN RISK

The provided text does not give full information on how the supply chain of Heineken is organized. But it says that Heineken is in favour of sourcing raw materials from local communities. Doing so diversifies their sources and reduces supply chain risk.

Although, Heineken should have an explicit plan for this issue.

C. CLIMATE CHANGE, ENVIRONMENT, WATER SCARCITY and CIRCULARITY

Their strategic pillar n. 3 *"Sustainability-Raise the bar on sustainability and responsibility"* explains their sustainability initiatives and goals. Although their goals may be too ambitious given the technology constraints and the scale in which they would have to be implemented

D. DIGITALIZATION

Heineken has undergone a digital transformation based on the definition of Libert et al. (2016), exploiting it to increase operational efficiency.

Digitalizing is an important step, to not become an obsolete company disadvantaged to competitors in the near future.

Their actions are thoroughly explained in strategic pillar n. 4 "*Digital-Become the best-connected brewer".*

But this goal exposes them to higher cybersecurity risks. This risk should be evaluated and addressed.

E. EXPECTATIONS ON CORPORATE RESPONSIBILITY: EQUITY AND FAIRNESS
From a business point of view, addressing these issues is important to keep brand integrity and clean reputation. It is likely that dishonest brands won't thrive long-term, given the sensitivity of consumers and the more stringent legislations.
Part of the strategic pillar n.3 "*Sustainability-Raise the bar on sustainability and responsibility"* addresses this matter.

F. CONSUMER TRENDS
Heineken has effectively detected trends that will shape the future, and has adjusted their production to meet new needs, as explained in pillar n.1 *"Shape the future of beer and beyond".*
This is important, because it ensures that the brand won't lose relevance in the near future.

Another strength of Heineken, is that the firm is embracing an agile style of decision-making, important in a VUCA world.
One last weakness of EverGreen strategy, is that it does not address how to gain competitive advantage over and not lose market share to its closest competitors.

In conclusion, it seems that Heineken has solid ordinary capabilities and has developed good dynamics capabilities. This shows from their strong performance, and from their apt adaptation to recognised trends.
Given that "ordinary capabilities alone will rarely suffice to support long-term competitive advantage, particularly in VUCA worlds" (Schoemaker et al., 2018, 18) Heineken is positioned for success.

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DECLARATION OF FAIR USE OF CHATGPT

Hereby I, Atanasova Teodora, disclose that AI intelligence has been discretely used as aid, without compromising the originality of my critical thoughts and ideas, and so without compromising the academic integrity of my resolution to the case study.
I have used AI for these types of outputs:

- General questions regarding the beer industry to aid the formation of my ideas
- Asking for feedback on the structure of my work
- Asking for aid on how to shorten the length of my text

To maximise transparency, hereby I copy and paste all prompts:

1. Are brewery fixed costs high
2. What are the ingredients used to produce beer
3. What are off trade revenues and on trade revenues
4. For what is hop used?
5. Give percentages of in which industries hop is sold
6. is there still an effect from covid on commodity prices
7. Can I say "to have a circular system of production"?
8. Did Covid create a stimulus for industries to be greener
9. Shorten this text: [….]
10. Is this text and conclusion clear? […]
11. Can you improve this text keeping it the same length? […]
12. Improve this sentence […]

Here a link to the chat:
https://chatgpt.com/share/6787d6d1-d7f4-800d-80f5-8fa94d266c56